

Calendar Line 5

Case Name: Balabanoff v. Classic Vacations, LLC, et al. (Class Action/PAGA)
Case No.: 21CV392334

The above-entitled action comes on for hearing before the Honorable Theodore C. Zayner on July 31, 2024, at 1:30 p.m. in Department 19. The court now issues its tentative ruling as follows:

I. INTRODUCTION

This is a putative class and representative action arising out of various alleged wage and hour violations. The operative First Amended Complaint (FAC), filed on June 14, 2023, sets forth causes of action for: (1) Failure to Pay Minimum Wages; (2) Failure to Pay Wages and Overtime Under Labor Code § 510; (3) Meal-Period Liability Under Labor Code § 226.7; (4) Rest-Period Liability Under Labor Code § 226.7; (5) Failure to Pay Vacation Wages; (6) Failure to Comply with Labor Code §§ 245 and 246; (7) Reimbursement of Necessary Expenditures Under Labor Code § 2802; (8) Failure to Comply with Labor Code § 2751; (9) Violation of Labor Code § 226(a); (10) Failure to Keep Required Payroll Records Under Labor Code §§ 1174 and 1174.5; (11) Penalties Pursuant to Labor Code § 203; (12) Violation of Business and Professions Code § 17200 et seq.; and (13) Penalties Pursuant to Labor Code § 2699 et seq.

On January 24, 2024, the court granted preliminary approval of the settlement. Plaintiff now moves for final approval of the settlement, and Plaintiff's motion (Motion) is unopposed.

II. LEGAL STANDARD

Generally, “questions whether a settlement was fair and reasonable, whether notice to the class was adequate, whether certification of the class was proper, and whether the attorney fee award was proper are matters addressed to the trial court’s broad discretion. [Citation.]” (*Wershba v. Apple Computer, Inc.* (2001) 91 Cal.App.4th 224, 234-235 (*Wershba*), citing *Dunk v. Ford Motor Co.* (1996) 48 Cal.App.4th 1794 (*Dunk*).)

In determining whether a class settlement is fair, adequate and reasonable, the trial court should consider relevant factors, such as “the strength of plaintiffs’ case, the risk, expense, complexity and likely duration of further litigation, the risk of maintaining class action status through trial, the amount offered in settlement, the extent of discovery completed and the stage of the proceedings, the experience and views of counsel, the presence

of a governmental participant, and the reaction of the class members to the proposed settlement.”

(*Wershba, supra*, 91 Cal.App.4th at pp. 244-245, quoting *Dunk, supra*, 48 Cal.App.4th at p. 1801 and citing *Officers for Justice v. Civil Service Com’n, etc.* (9th Cir. 1982) 688 F.2d 615, 624 (*Officers*).)

“The list of factors is not exclusive and the court is free to engage in a balancing and weighing of factors depending on the circumstances of each case. [Citation.]” (*Wershba, supra*, 91 Cal.App.4th at p. 245.) The court must examine the “proposed settlement agreement to the extent necessary to reach a reasoned judgment that the agreement is not the product of fraud or overreaching by, or collusion between, the negotiating parties, and that the settlement, taken as a whole, is fair, reasonable and adequate to all concerned. [Citations.]” (*Ibid.*, quoting *Dunk, supra*, 48 Cal.App.4th at p. 1801 and *Officers, supra*, 688 F.2d at p. 625, internal quotation marks omitted.)

The burden is on the proponent of the settlement to show that it is fair and reasonable. However “a presumption of fairness exists where: (1) the settlement is reached through arm’s-length bargaining; (2) investigation and discovery are sufficient to allow counsel and the court to act intelligently; (3) counsel is experienced in similar litigation; and (4) the percentage of objectors is small.”

(*Wershba, supra*, 91 Cal.App.4th at p. 245, quoting *Dunk, supra*, 48 Cal.App.4th at p. 1802.)

III. DISCUSSION

The case has been settled on behalf of the following class:

[A]ll persons employed by [defendant] Classic Vacations, LLC in California and classified as non-exempt employee who worked for [defendants Classic Vacations, LLC, Classic Custom Vacations (a d/b/a of Classic Vacations, LLC), Expedia, Inc., and Expedia Group, Inc. (collectively, “Defendants”)] during the Class Period.

The Class Period is defined as the period from September 23, 2017, to January 16, 2023. The class also contains a subset of aggrieved employees that are defined as “person[s] employed by Classic Vacations, LLC in California and classified as a non-exempt employee who worked for Defendants during the PAGA Period.” The PAGA Period is defined as the period from September 23, 2020, to January 16, 2023.

According to the terms of settlement, Defendants will pay a gross, non-reversionary

amount of \$450,000. The gross settlement amount includes attorney's fees of \$150,000 (1/3 of the gross settlement amount), litigation costs not to exceed \$25,000, an enhancement award for the class representative not to exceed \$7,500, settlement administration costs not to exceed \$8,500, and a PAGA allocation of \$20,000 (75 percent of which will be paid to the Labor and Workforce Development Agency (LWDA) and 25 percent of which will be paid to aggrieved employees).

The net settlement amount will be distributed to Class Members on a pro rata basis based on the number of workweeks worked during the Class Period. Similarly, PAGA members will receive a pro rata share of the 25 percent portion of the PAGA payment allocated to them based on the number of workweeks worked during the PAGA Period.

On October 4, 2023, the court continued the motion for preliminary approval to December 13, 2023. In its minute order, the court directed Plaintiff to identify a new *cy pres* recipient in compliance with Code of Civil Procedure section 384. The court also asked Plaintiff to submit evidence that the proposed settlement was submitted to the LWDA as required under Labor Code section 2699, subdivision (l)(2). Finally, the court asked the parties to make several changes to the class notice.

On November 14, 2023, Plaintiff's counsel filed a supplemental declaration in support of the motion for preliminary approval. The court subsequently found that this supplemental declaration adequately addressed the court's previous concerns and granted preliminary approval. Specifically, the parties executed an Addendum to Class Action and PAGA Settlement Agreement (Addendum) designating Bet Tzedek as the *cy pres* recipient in compliance with Code of Civil Procedure section 384 and made the requested changes to the class notice. Plaintiff's counsel also submitted evidence that the settlement agreement and Addendum were provided to the LWDA.

On February 16, 2024, the settlement administrator mailed out notice packets to 189 Class Members. (Amended Declaration of Jeremy Romero [] (Romero Decl.) at ¶ 7.)⁵ Ultimately, one notice packet was undeliverable. (*Id.* at ¶ 9.) There was one request for

⁵ Paragraph 12 of the Romero Declaration referring to "one hundred ninety-eight (189) Participating Class Members" appears to be a typographical error.

exclusion, no objections, and one dispute regarding workweeks that has now been resolved. (*Id.* at ¶ 10.) One request for inclusion to the Class was approved by Plaintiff’s counsel, bringing total Class Members to 190. (*Id.* at ¶ 11.) The notice packet to this additional Class Member was mailed on June 12, 2024, and the response deadline is July 27, 2024. (*Ibid.*) At or before the final approval hearing, Plaintiff’s counsel shall provide the court with updated information regarding the response (if any) of this additional Class Member.

Assuming the court awards the requested \$7,500 enhancement payment to Plaintiff and other requested fees and costs, by the court’s calculation, each Class Member will receive an average of \$1,356.71. The court previously found the proposed settlement is fair and the court continues to make that finding for purposes of final approval.

Plaintiff requests an enhancement award of \$7,500 and submits a Declaration of Sasha Balabanoff in Support of Motion for Final Approval of the Class Action Settlement (Balabanoff Supp. Decl.) in addition to the declaration she previously provided at preliminary approval. At preliminary approval, the court reviewed Plaintiff’s declaration “generally detailing” her participation in the case and directed Plaintiff to file a supplemental declaration “specifically detailing” her participation as well as providing an estimate of time spent in connection with this litigation. Plaintiff now states in her supplemental declaration that she spent approximately 20 hours on this case, conferred with Plaintiff’s counsel, provided documents, described Defendants’ policies, practices, and procedures, contacted potential witnesses, and assisted in preparation and made herself available for mediation. (Balabanoff Supp. Decl. at ¶¶ 7-9.) The supplemental declaration is adequate and considering the average class payout vis-à-vis the requested enhancement award, the \$7,500 enhancement award is approved.

The court also has an independent right and responsibility to review the requested attorney’s fees and only award so much as it determines reasonable. (See *Garabedian v. Los Angeles Cellular Telephone Co.* (2004) 118 Cal.App.4th 123, 127-128.) Plaintiff’s counsel requests attorney’s fees in the amount of \$150,000 (1/3 of the gross settlement amount).⁶

⁶ Attorney’s fees will be split, with David Yeremian & Associates, Inc. receiving 65% and D.Law, Inc. receiving 35%. (Yeremian Decl. at ¶ 35.) This fee split has been acknowledged in writing by Plaintiff. (*Ibid.*)

Plaintiff's counsel provides evidence demonstrating a total lodestar of \$154,082.50. (Declaration of David Yeremian [] (Yeremian Decl.) at ¶ 15 & Exh. 1; Declaration of Roman Shkondnik [] at ¶ 5 & Exh. 1; Declaration of Emil Davtyan [] at ¶ 14.) By the court's calculation, this results in a reasonable multiplier of 0.97. The attorney's fees requested are reasonable and are approved.

Plaintiff's counsel requests and provides evidence of litigation costs of \$15,081.35. (Yeremian Decl. at ¶ 28 & Exh. 3.) These costs are approved. Settlement administration costs of \$8,500 are also approved. (Romero Decl. at ¶ 15.)

IV. CONCLUSION

Accordingly, the Motion is GRANTED.

The prevailing party shall prepare the order and judgment in accordance with California Rules of Court, rule 3.1312.

The court will set a compliance hearing for _____, at 2:30 p.m. in Department 19. At least ten court days before the hearing, class counsel and the settlement administrator shall submit a summary accounting of the net settlement fund identifying distributions made as ordered herein, the number and value of any uncashed checks, the status of any unresolved issues, and any other matters appropriate to bring to the court's attention. Counsel may appear at the compliance hearing remotely.

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Calendar Line 6

Case Name: Cervantez v. Garden City, Inc.
Case No.: 22CV392905

The above-entitled action comes on for hearing before the Honorable Theodore C. Zayner on July 31, 2024, at 1:30 p.m. in Department 19. The court now issues its tentative ruling as follows:

I. INTRODUCTION

This is a putative class and representative action brought by plaintiff Joe Cervantez (Plaintiff) alleging various wage and hour violations. The operative First Amended Complaint, filed on June 22, 2022, sets forth the following causes of action: (1) Failure to Pay Minimum Wages; (2) Failure to Pay Overtime Wages; (3) Failure to Provide Meal Periods; (4) Failure to Permit Rest Breaks; (5) Failure to Reimburse Business Expenses; (6) Failure to Provide Accurate Itemized Wage Statements; (7) Failure to Pay All Wages Due Upon Separation of Employment; (8) Violation of Business and Professions Code 17200, et seq.; and (9) Enforcement of Labor Code 2698, et seq. (PAGA .)

On February 10, 2023, the court entered an Order on Defendant’s Motion to Compel Arbitration, Dismiss Class Action, and Stay Proceedings, which sent Plaintiff’s individual claims to arbitration and stayed Plaintiff’s representative claims pending completion of the arbitration.

Now before the court is the motion by Aegis Law Firm, P.C., to be relieved as counsel of record for Plaintiff. The motion is unopposed.

II. LEGAL STANDARD

California Rules of Court, rule 3.1362 sets forth the requirements for a motion to be relieved as counsel. Notice and motion must be directed to the client on Judicial Council Form MC-051. No memorandum is required. (See, Cal. Rules of Ct., rule 3.1362(a) & (b).) Counsel must provide a declaration on Judicial Council Form MC-052 stating “in general terms and without compromising the confidentiality of the attorney-client relationship why a motion under Code of Civil Procedure section 284(2) is brought instead of filing a consent under Code of Civil Procedure section 284(1).” (Cal. Rules of Ct., rule 3.1362(c).)